

Product Disclosure Statement



Hottathanafantasy Syndicate

5% Leasehold Stake in Hottathanafantasy (NZ)

Evolution Stables - NZTR Authorised Syndicator

Date: 25 March 2026

Evolution Stables

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A New Way to Own

Evolution Stables is a New Zealand-based, NZTR-authorised syndicator, and the first to offer tokenised racehorse syndication fully aligned with both NZTR regulations and global virtual asset frameworks.

We partner with leading owners and trainers to lease premium bloodstock, then make those opportunities available in fractional, fixed-term digital shares. This lowers the cost of entry and simplifies ownership, giving more people the chance to experience the sport from the inside.

To deliver this securely and at scale, we work with Tokinvest, a licensed and regulated platform (Dubai VARA-approved) that manages investor onboarding, compliance, and secure digital issuance of your syndicate tokens.

Our approach blends the tradition, passion, and community of racing with modern technology and transparent processes—helping to build the next generation of owners.

A handwritten signature in blue ink, appearing to read 'AB' followed by a stylized flourish.

Alex Baddeley

Founder, Evolution Stables

Key Information Summary

What is this?

This Product Disclosure Statement outlines an 18-month leasehold interest in Hottathanafantasy, a New Zealand thoroughbred. Evolution Stables has secured a 5% leasehold stake in the horse and is making fractional participation available to investors through its digital-syndication model.

Who is this for?

Individuals seeking exposure to racehorse ownership in a simplified, digital format—no prior experience required.

How does it work?

You lease a share of our 5% stake in Hottathanafantasy. Your one-time fee covers all costs for the term. You receive 75% of any revenue generated from racing, sponsorship, or commercial activity, proportional to your share.

Structure

The 5% leasehold interest in Hottathanafantasy is:

- Split into 20 digital tokens (each representing 0.25%)
- Fixed for the term 1 Jan 2026 to 30 June 2027
- Fully managed by Evolution Stables
- Digitally issued and administered via Tokinvest (regulated by VARA, Dubai)

Returns

Returns are variable, based on race performance and commercial revenue. There are no guarantees, and you may not recover your original investment.

Fees

- **\$280 NZD per 0.25% token** (fixed, covers all costs)
- Fees: 7% Tokinvest, 5% Evolution Stables (deducted from upfront payment)

Race Schedule Expectation

Hottathanafantasy is returning to training from early January 2026. Syndicate members can expect regular updates and potential race entries as she builds fitness throughout her

preparation.

Risks

The horse may underperform, suffer injury, or be retired early. Early termination may result in a pro-rata refund. Limited liquidity—resale may not be immediate or available. You could lose the full amount of your investment. (See Section 12.)

How to Invest

Applications are made directly through Evolution Stables. Once your allocation is confirmed, it will be securely recorded and administered via our partner Tokinvest, a licensed and regulated digital issuance platform. Identity verification is required under AML/CFT laws. (See Section 19 - Investment Details.)

Manager

Evolution Stables Ltd (NZBN: 9429050177875) is an authorised NZTR syndicator specialising in digital-syndication of leasehold interests in New Zealand thoroughbreds. (See Section 1.)

1. About Evolution Stables

Evolution Stables is a licensed NZTR-authorized syndicator that's reshaping how people experience racehorse ownership. We believe that owning a stake in a racehorse should be exciting, flexible, and accessible—not bogged down by outdated structures or high barriers to entry.

Our approach is built around the idea of digital-syndication. This means fractional ownership, simple onboarding, and clear timeframes—all enabled by digital infrastructure. Our leases are short-term, fixed-cost, and designed for modern investors who want real participation with minimal complexity.

Behind Evolution Stables is a team with experience across financial markets, digital assets, and the racing industry. Our platform is designed to open the gate for a new generation of owners, while still honouring the traditions that make racing special.

We work closely with:

- **NZTR** to ensure full compliance with New Zealand's racing and syndication rules.
- **Tokinvest**, our digital issuance partner, licensed under Dubai's VARA framework, providing global-grade compliance and token management.
- **Leading studs, trainers, and bloodstock agents**, giving our syndicate members access to high-potential horses and real industry insight.

Why it matters

This is a fully managed syndicate—professionally operated on your behalf. Token holders do not carry governance rights, but are welcomed as valued participants in the journey. We handle the racing, compliance, and communications so you can enjoy the experience, not manage it.

2. About the Horse - Hottathanafantasy

Hottathanafantasy (NZ) is a New Zealand-bred two-year-old bay filly by the champion sire Contributor (IRE) out of the winning dam Whiffle (USA)—producer of stakes-placed progeny—foaled on 24 October 2023.

Bred by Goldeye Trust, she boasts a strong pedigree from Family 13, with relatives including precocious winners like Bocce and Kona Breeze, positioning her for success from a young age.

Hottathanafantasy is trained by Wexford Stables. Wexford Stables is a name synonymous with excellence in New Zealand racing history, continuing its legacy under the leadership of Lance

O’Sullivan ONZM and Andrew Scott. Operating out of the world-class facilities in Matamata, Wexford Stables maintains one of the best strike rates in the country, ensuring horses like this promising filly receive top preparation for upcoming trials and races.

Key Details

- **Name:** Hottathanafantasy (NZ)
- **Foaling Date:** 24 October 2023
- **Colour:** Bay
- **Sex:** Mare
- **Sire:** Contributor (IRE)
- **Dam:** Whiffle (USA)
- **Trainer:** Wexford Stables (Lance O’Sullivan & Andrew Scott)
- **Training Base:** Wexford Stables, Matamata, New Zealand
- **Lease Duration:** 18 months (1 Jan 2026 - 30 June 2027)
- **Stake:** 5% leasehold interest held by Evolution Stables
- **Listing:** 20 digital tokens (0.25% each)

Racing Outlook & Pedigree:

Hottathanafantasy carries a pedigree built for performance in Australasian racing conditions, combining a proven commercial sire with a durable New Zealand maternal line. Her sire, Contributor, is one of New Zealand’s leading sires, consistently producing elite performers. Returning to training in early January 2026, she offers a high-quality ownership experience with a clear timeframe and strong upside.

3. Upfront Costs and Expenses

The Hottathanafantasy Syndicate is structured as a simple, fixed-cost lease, with no ongoing costs for the term of the lease. You pay one upfront amount to participate—that’s it.

Total Lease Cost: \$315 per 0.25% token

How This is Calculated:

Based on the standard syndication model, the underlying operating cost is estimated at **\$70 per 1% per month**.

- For the **5% leasehold stake**, the monthly cost is **\$350**.
- Calculated across the **18-month lease term** (1 Jan 2026 - 30 Jun 2027), the Total Wholesale Lease Value is **\$6,300**.
- This total value is divided equally into **20 tokens**, resulting in a fixed upfront price of **\$315**

per 0.25% token.

This cost includes:

- Training and care
- Syndicate management and reporting
- NZTR registration and compliance
- Tokinvest platform and digital issuance/administration
- All other routine costs associated with the horse for the full term

4. Revenue Streams

Your share in the Hottathanafantasy Syndicate gives you access to potential earnings generated by the horse during the lease period. While returns are variable and not guaranteed, your investment entitles you to a portion of all eligible income the horse may produce.

How Distributions Work

All revenue generated by Hottathanafantasy during the lease period is paid by the horse's owner to Evolution Stables as the leaseholder. Under the lease arrangement, **75% of gross revenue** is allocated to the syndicate (token holders), with the remaining 25% retained by the owner.

Distributions to token holders are made pro rata according to each participant's shareholding. All distributions are made in NZD and processed via the Tokinvest platform, which may deduct applicable transaction or platform fees.

5. Ongoing Costs and Expenses

There are no ongoing costs. Your upfront lease fee is all-inclusive. Evolution Stables manages all expenses related to the horse throughout the lease period. You will not be asked to contribute additional funds, regardless of race schedule, training demands, or location.

6. Minimum Amount

The minimum investment is 0.25%, representing one digital token in the 5% leasehold stake secured by Evolution Stables. Each 0.25% token costs \$280 NZD. Investors may purchase multiple tokens, subject to availability.

7. Taxes

Investors are responsible for their own tax liabilities arising from any distributions or returns generated by their participation in this Syndicate. Evolution Stables does not provide tax advice. Participants should consult their own independent tax advisors regarding the implications of holding digital tokens and receiving racehorse distributions.

8. Insurance

Evolution Stables has not secured mortality insurance for the 5% leasehold stake in Hottathanafantasy . Because this is a fixed-term leasehold interest and not an equity stake, the primary risk to the investor is the loss of the initial lease fee, rather than the capital value of the horse. In the event of the horse's death, the lease will terminate, and unspent funds will be refunded pro-rata as outlined in Section 15.

9. Valuation

No independent valuation of the horse's capital value has been undertaken for this offering. The pricing of the tokens is based entirely on the wholesale operational cost of leasing the horse (\$70 per 1% per month) over the 18-month term, rather than the intrinsic capital value of the bloodstock.

10. Veterinary Report

Hottathanafantasy is a thoroughbred in pre-training. A general veterinary inspection was conducted prior to the commencement of the lease to ensure the horse is fit for racing purposes. However, investors acknowledge that racehorses are prone to injury and illness, and past fitness does not guarantee future soundness.

11. Material Interests

Evolution Stables Ltd receives a 5% margin incorporated into the upfront token price to cover the structuring, management, and regulatory oversight of the syndicate. Tokinvest receives a 7% fee for digital issuance, platform hosting, and compliance. There are no other hidden fees or material conflicts of interest.

12. Risk Disclosure

Participation in racehorse syndication is highly speculative and carries significant risks.

- **Performance Risk:** The horse may not perform well, may not win prize money, and may not generate any revenue.
- **Health Risk:** The horse may suffer injury, illness, or death, preventing it from racing.
- **Liquidity Risk:** Digital tokens represent a fixed-term lease. While secondary trading may be available on the Tokinvest platform, there is no guarantee of an active market or that you will be able to sell your tokens.
- **Capital Loss:** You may lose the entirety of your initial investment.

13. Responsible Investment

Evolution Stables holds itself and its partners to the highest standards of care. Animal welfare remains central to all decisions made during the lease. All training, spelling, and veterinary decisions are made by licensed professionals. All post-racing arrangements are the responsibility of the horse's connections and are expected to comply with NZTR's welfare guidelines.

14. Legal Structure & Governance

The Syndicate is governed by the Syndicate Agreement and the Rules of Racing administered by New Zealand Thoroughbred Racing (NZTR). Evolution Stables acts as the Manager. Tokenholders possess a leasehold right to revenue but possess no voting, operational, or governance rights over the horse or its racing career.

15. Termination

The lease naturally terminates on 30 June 2027. It will terminate earlier if the horse is sold by the owner, retired, injured, or otherwise permanently unable to race. In the event of early termination, leaseholders will receive a pro-rata refund of their original lease fee based on the number of full months remaining in the term. If the horse is sold, leaseholders will receive a buyout calculated at 3x the remaining lease value, distributed pro-rata.

16. Transfer of Shares

Tokens may only be transferred or sold subject to the rules, functionality, and regulatory

compliance of the Tokinvest platform. Secondary trading is subject to platform availability and VARA regulations. Evolution Stables does not guarantee a secondary market.

17. Records & Financial Reporting

Evolution Stables will maintain a register of all Tokenholders via the Tokinvest platform. Financial updates, including prize money distributions and race reports, will be provided regularly. A final financial summary will be issued at the conclusion of the lease term.

18. Complaints

Any complaints regarding the management of the Syndicate should be directed in the first instance to Evolution Stables (alex@evolutionstables.nz). If the matter cannot be resolved, it may be escalated to New Zealand Thoroughbred Racing (NZTR) in accordance with the Rules of Racing.

19. Investment Details

I hereby apply for the following interest in the Hottathanafantasy Syndicate:

Stake Percentage: [Insert Percentage]%

Token Quantity: [Insert Token Quantity] Tokens

20. Investor Declaration

By signing this Application Form, on the [Insert Date] I acknowledge and agree that:

1. I have received, read, and understood the Product Disclosure Statement (PDS) and the Syndicate Agreement for the Hottathanafantasy Syndicate.
2. I agree to be bound by the terms of the Syndicate Agreement, the PDS, and the Rules of Racing administered by NZTR.
3. I understand that my participation is strictly as a leaseholder and confers no ownership rights in the horse.
4. I understand the risks set out in the PDS, including that I may not recover my original investment.
5. I consent to my details being provided to NZTR and Tokinvest for compliance with AML/CFT, registration, and regulatory purposes.

Name: [Insert Investor Name]

Signed: [Investor Signature]

Date: [Insert Date]

21. Promoter Declaration

I, Alex Baddeley, as the promoter of this syndicate, declare that the information provided in this Product Disclosure Statement is, to the best of my knowledge, true and correct, and that I am not aware of any information that would make this statement misleading in any material respect.

Signed: Alex Baddeley

Director, Evolution Stables Ltd

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Appendix

Appendix A – Platform Fees and Revenue Types

Appendix	B	–	Potential	Revenue	Streams
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Appendix A – Platform Fees and Revenue Types

Tokinvest Platform Fees:

- As part of the upfront, all-inclusive lease fee, 7% is allocated to Tokinvest to cover platform, transaction, and token issuance services.

Evolution Stables Fees:

- A 5% fee is allocated to Evolution Stables from the upfront lease payment to cover the costs of syndicate management and ongoing administration.

Appendix B – Potential Revenue Streams

Token holders receive a revenue share (for Hottathanafantasy, 75%) of all revenue generated by the referenced horse during the lease period, proportional to their leased stake. The following categories outline typical potential revenue sources:

Category	Description
Race Winnings	Standard prizemoney from official race results, including base pools/bonuses
Sponsorship & Endorsements	Income from brand partnerships involving the horse, silks, or syndicate representation
Media & Naming Rights	Earnings from appearances, naming rights, or features in documentaries
Digital Asset Income	Royalties or direct proceeds from NFTs or other digital memorabilia
Appearance Fees	Revenue from parades, exhibitions, or promotional appearances
Merchandising & Hospitality	Proceeds from branded merchandise and curated race-day experiences
Data Licensing	Earnings from licensing biometric or performance data to third parties
Exit or Breeding Proceeds	If the horse is sold or earns breeding revenue during the lease, token holders may receive a share. Subject to standard buyout clause: 3x the remaining lease value.
Other Commercial Revenue	Any other verifiable income directly attributable to the horse during the lease.

